UNIT - V

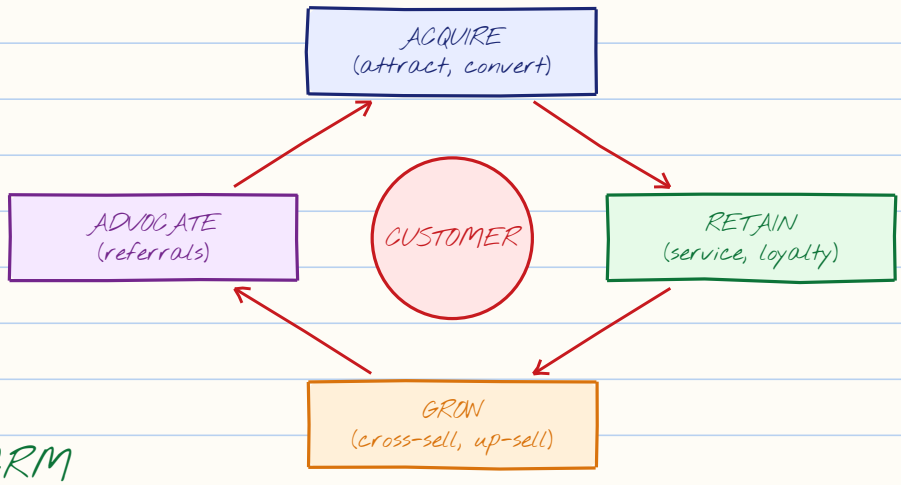
Contemporary Issues in Management

Syllabus at a glance

- CRM - TQM - Six Sigma - SCM - ERP - Performance management - Employee engagement and retention
- BPR and benchmarking - Knowledge management - Change management - Sustainability and CSR

1. Customer Relationship Management (CRM)

CRM = strategy, process and technology to acquire, retain and grow profitable customers by managing every interaction across the customer lifecycle. Goal : customer lifetime value (CLV) instead of one-time sales.



Types of CRM

- Operational : automates sales, marketing and service (contact mgmt, lead tracking, helpdesk) - Analytical : data mining, segmentation, churn prediction, CLV - Collaborative : shares customer data across departments, partners and channels

Components & tools

- Customer database (single view) - Sales force automation - Marketing automation - Call centre or chatbots - Social CRM - Analytics. Tools : Salesforce, HubSpot, Zoho CRM, Microsoft Dynamics

Benefits & challenges

- Benefits : higher loyalty and retention (retaining costs 5-7 times less than acquiring), personalised service, cross-selling, better forecasting, lower cost
- Challenges : high cost, poor data quality, employee resistance, privacy laws (DPDP Act 2023), lack of top-management support

Key idea

- 80% of profit often comes from 20% of customers (Pareto) → identify, reward and retain them. Satisfaction → Loyalty → Advocacy → Profit.

Customer Lifetime Value (CLV) - example

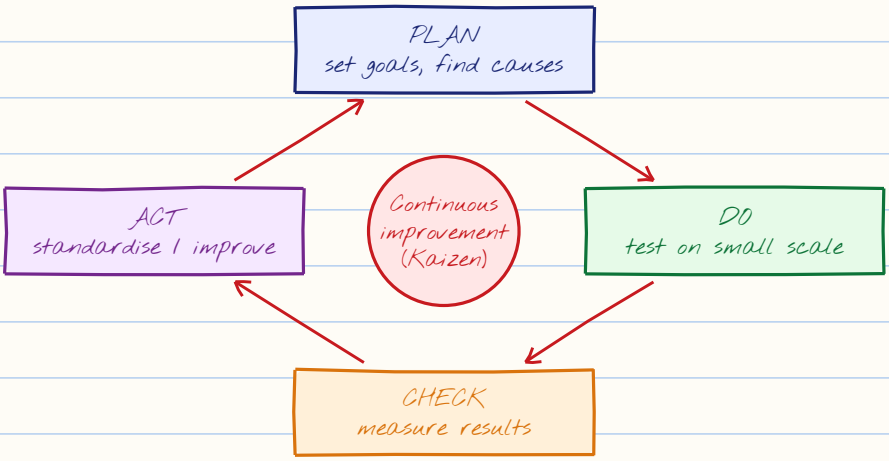
- CLV = average purchase value × purchases per year × years of relationship × profit margin
- Rs.2000 × 6 purchases × 4 years × 20% margin = Rs.9,600 → the firm can afford to spend up to this much to win and keep one customer
- Related terms : customer churn rate , CAC (customer acquisition cost), NPS (Net Promoter Score = % promoters - % detractors)

2. Total Quality Management (TQM)

TQM = organisation-wide approach in which everyone, at every level, is committed to continuously improving quality and meeting customer needs. "Quality is everyone's job."

Principles (core elements)

1. Customer focus (internal and external customers) 2. Top-management leadership and commitment 3. Total employee involvement (quality circles, empowerment)
4. Process approach 5. Continuous improvement (Kaizen) 6. Fact-based decisions (SPC, data) 7. Supplier partnership 8. Prevention rather than inspection (get it right first time)



Quality gurus

Guru	Contribution
W. Edwards Deming	14 points ; PDCA cycle ; 85% of problems are due to the system (management), not workers
Joseph Juran	"Fitness for use" ; Quality Trilogy : planning, control, improvement
Philip Crosby	"Quality is free" ; Zero defects ; do it right the first time
Ishikawa	Fishbone diagram ; quality circles ; Taguchi - loss function ; Feigenbaum - total quality control

Deming's 14 points (condensed)

- Create constancy of purpose ; adopt the new philosophy ; stop mass inspection ; do not award business on price alone ; improve constantly ; train on the job ; institute leadership
- Drive out fear ; break down barriers between departments ; remove slogans and numerical quotas ; remove barriers to pride of workmanship ; encourage education and self-improvement ; put everybody to work on the transformation

5S	Japanese	Meaning
Sort	Seiri	Remove unnecessary items
Set in order	Seiton	A place for everything
Shine	Seiso	Clean the workplace
Standardise	Seiketsu	Make rules and checklists
Sustain	Shitsuke	Discipline, Keep the habit

- Quality circle : small voluntary group (6-10) from the same work area

meeting regularly to solve quality problems (Japan, Ishikawa). ISO 9001 : international QMS standard (certification by audit, valid 3 years). Cost of quality : prevention + appraisal + failure (internal and external).

Tools & benefits

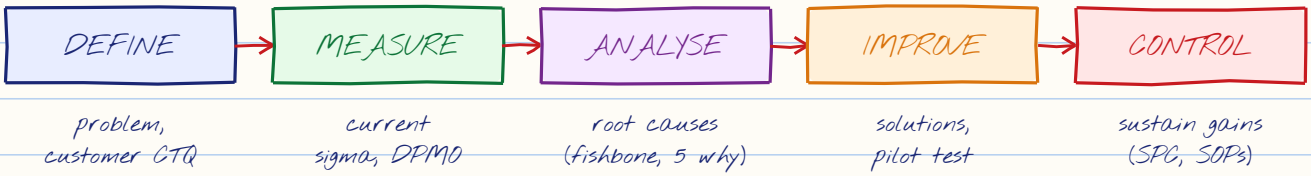
- 7 QC tools : check sheet, histogram, Pareto chart, cause-and-effect (fishbone), scatter diagram, control chart, flow chart ; also 5S, Kaizen, Poka-yoke, QFD, benchmarking, ISO 9001
- Benefits : fewer defects and rework, lower cost, customer satisfaction, higher morale, competitive edge - Barriers : lack of commitment, resistance, no training, short-term view, poor measurement

3. Six Sigma Concept

Six Sigma = data-driven, disciplined methodology (Motorola, Bill Smith, 1986; popularised by GE - Jack Welch) to reduce variation and eliminate defects so that a process produces only 3.4 defects per million opportunities (DPMO). Sigma = standard deviation.



Sigma level	Yield (%)	DPMO	Meaning
1 sigma	30.9	691,462	very poor
2 sigma	69.1	308,538	poor
3 sigma	93.3	66,807	average industry
4 sigma	99.38	6,210	good
5 sigma	99.977	233	very good
6 sigma	99.99966	3.4	world class



- DMAIC (existing process) : Define, Measure, Analyse, Improve, Control ; DMADV or DFSS (new process) : Define, Measure, Analyse, Design, Verify
- Belts : White, Yellow, Green (part-time project leaders), Black (full-time experts), Master Black Belt (coach), Champion (executive sponsor)
- Lean Six Sigma = Lean (remove waste : defects, overproduction, waiting, transport, over-processing, inventory, motion, unused talent) + Six Sigma (remove variation)

Example - DPMO

- 500 units checked, 5 opportunities for defect per unit, 25 defects found
- DPMO = defects ÷ (units x opportunities) x 1,000,000 = 25 ÷ (500 x 5) x 10^6 = 10,000 → about 3.8 sigma

Root-cause tools used in Analyse phase

- 5 Whys : machine stopped → fuse blown → bearing overloaded → no lubrication → pump worn out → no maintenance schedule (root cause)
- Fishbone (Ishikawa) : causes grouped under Man, Machine, Material, Method, Measurement, Environment (6 M's) leading to the effect (defect)

4. Supply Chain Management (SCM)

Supply chain = network of suppliers, manufacturers, warehouses, distributors, retailers and customers that converts raw materials into finished goods delivered to the end customer. SCM = planning, coordinating and controlling the whole chain - flows of materials, information and finance - to deliver maximum customer value at lowest total cost.

MATERIAL / PRODUCT flow ->



<- INFORMATION and CASH flow

Plan - Source - Make - Deliver - Return (SCOR model)

Objectives & Key decisions

- Right product, right place, right time, lowest cost - Reduce inventory and lead time - Improve service level and flexibility - Build supplier partnership - Visibility and responsiveness
- Drivers (Chopra) : facilities, inventory, transportation, information, sourcing, pricing

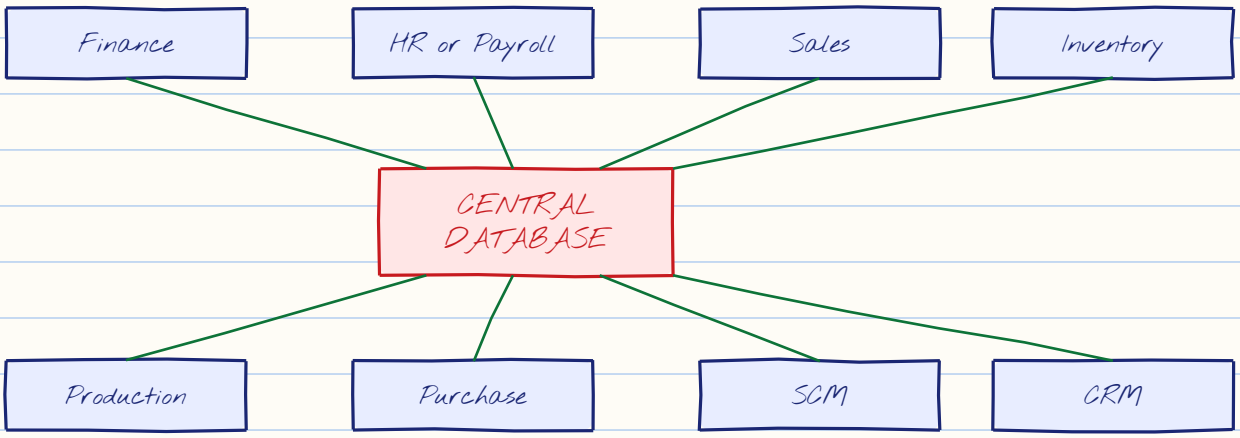
Important concepts

- Bullwhip effect : small change in customer demand creates larger swings upstream due to poor information sharing → solved by information sharing, VMI, POS data
- JIT or lean - VMI (vendor managed inventory) - Cross-docking - 3PL or 4PL logistics - Make-to-stock vs make-to-order - e-SCM, RFID, blockchain traceability - Reverse logistics
- Benefits : lower cost, shorter cycle time, less stock, better quality and customer service. Challenges : lack of trust, disruption risks (COVID, wars), complexity, IT integration. Example : Amazon, Walmart, Toyota, Reliance Retail

Basis	Push strategy	Pull strategy
Trigger	Forecast of demand	Actual customer orders
Inventory	High (make-to-stock)	Low (make-to-order, JIT)
Risk	Over-stocking, obsolescence	Stock-outs, longer lead time
Example	FMCG, soaps, biscuits	Dell computers, Toyota JIT

5. Enterprise Resource Planning (ERP)

ERP = integrated software suite that connects all functions (finance, HR, production, sales, purchase, inventory) on a single database so that data is entered once and shared in real time.



Evolution

- MRP (1960s, materials) → MRP-II (1980s, + capacity, finance) → ERP (1990s, whole enterprise) → ERP-II or cloud ERP and AI (2000s +)

Features, benefits, limits

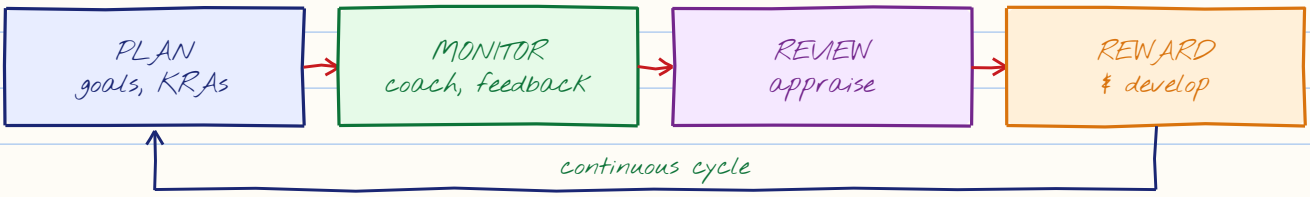
- Integrated, real-time, single database, process-oriented, modular, best-practice templates, multi-currency, role-based access
- Benefits : no duplication, faster decisions, lower inventory, better control and transparency, improved customer service
- Limitations : very costly, complex, long implementation (6-24 months), employee resistance, customisation difficulty, vendor lock-in, data security

Module	What it handles
Finance and accounting	General ledger, accounts payable or receivable, budgeting, GST and tax, costing
Human resources	Payroll, attendance, recruitment, training, appraisal, employee self-service
Production (MRP)	BOM, production planning, scheduling, shop-floor control, quality
Materials and purchase	Vendor management, purchase orders, inventory, warehouse
Sales and distribution	Quotation, orders, billing, dispatch, CRM link

Aspect	Details
Vendors	SAP S/4HANA, Oracle NetSuite or Fusion, Microsoft Dynamics 365, Infor, Odoo (open source), Tally Prime (SMEs)
Implementation phases	Planning and vendor selection → Business process mapping (as-is, to-be) → Customisation → Data migration → Testing → Training → Go-live → Support
Go-live strategies	Big bang (all at once) ; Phased (module by module) ; Parallel (old + new together) ; Pilot

6. Performance Management

Performance Management (PMS) = continuous process of setting goals, monitoring, coaching, reviewing and rewarding performance to align individual work with organisational strategy. (PA = once a year review ; PMS = whole year cycle, forward looking.)



- KRA (Key result areas) = what the job must achieve ; KPI = measurable indicators (sales growth, defect rate, on-time delivery) ; OKR (Objectives and Key Results) ; Balanced Scorecard (financial, customer, internal process, learning)
- Good PMS : clear goals, regular feedback, 360-degree input, fair rating, links to pay, promotion, training and career development

7. Employee Engagement & Retention

Engagement = employee's emotional commitment to the organisation and its goals - willing to give discretionary effort . (Gallup : engaged or not engaged or actively disengaged.)

Basis	Satisfaction	Engagement
Meaning	Contentment with job, pay, conditions	Passion and commitment to give extra effort
Result	Stays, does the required work	Performs beyond expectations, innovates

Drivers of engagement

- Meaningful work and autonomy - Good leadership and trust - Recognition and rewards - Career growth and learning - Work-life balance - Open communication - Fair pay - Team culture and wellbeing

Retention

- Retention = efforts to keep valued employees and reduce turnover. Turnover rate (%) = (number of separations ÷ average number of employees) × 100. Example : 30 leave, average staff 300 → 10%
- Strategies : competitive pay and benefits (ESOP), career paths, training, flexible or hybrid work, recognition, good onboarding, stay interviews, exit interviews, wellness programmes, employer branding
- Cost of turnover : hiring, training, lost productivity and knowledge, low morale (often 50-200% of annual salary)

8. BPR & Benchmarking

Business Process Re-engineering (BPR)

Hammer and Champy (1993) : "the fundamental rethinking and radical redesign of business processes to achieve dramatic improvements in cost, quality, service and speed." (Not small, gradual - like Kaizen.)

- Principles : organise around outcomes, not tasks ; let the user of the output do the work ; capture information once at the source ; treat dispersed resources as centralised ; link parallel activities ; use IT as enabler
- Steps : identify processes → map as-is → find problems → design to-be radical process → implement (pilot) → monitor
- Examples : Ford accounts payable (500 → 125 clerks), IBM Credit, Taco Bell. Risks : job loss, resistance, high failure rate (~50-70%), poor leadership

Basis	BPR	Kaizen or TQM
Change	Radical, breakthrough	Small, continuous
Scope	Cross-functional process	Everyone, every day
Risk	High	Low

Benchmarking

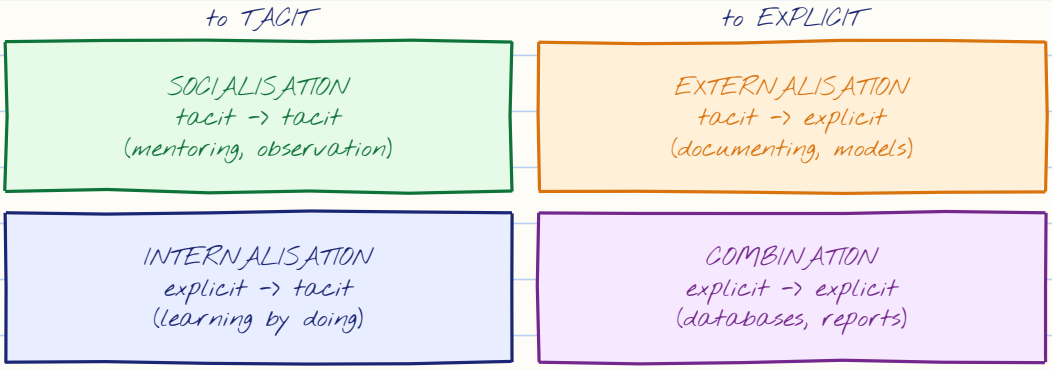
Benchmarking = continuous process of measuring products, services and practices against the best competitors or industry leaders to learn and improve. (Xerox, 1979 - Robert Camp.)

- Types : Internal (between own units), Competitive , Functional (same function, different industry), Generic (best process anywhere), Strategic or performance benchmarking
- Process : Plan (what to benchmark) → Find partner → Collect data → Analyse gap → Adopt and implement → Monitor . Benefits : set realistic targets, avoid reinventing the wheel, spot best practices

9. Knowledge Management (KM)

KM = systematic process of creating, capturing, storing, sharing and applying knowledge to improve organisational performance and innovation. Data → Information → Knowledge → Wisdom (DIKW).

Type	Tacit Knowledge	Explicit Knowledge
Nature	In people's heads, experience, intuition	Written, codified, documented
Sharing	Hard - by mentoring, conversation	Easy - manuals, databases
Example	Skill of a master craftsman	SOP, patent, report



- Nonaka and Takeuchi's SECI model : the spiral of knowledge conversion shown above
- KM process : Create → Capture → Organise and store → Share → Apply → Review . Tools : intranet, wikis, databases, expert directories, communities of practice (CoP), lessons-learned, AI search
- Benefits : faster learning, avoid repeat mistakes, innovation, preserves know-how when people leave. Barriers : Knowledge hoarding, no trust or reward, technology gap

10. Change Management

Change management = structured approach to moving individuals, teams and organisations from the current state to a desired future state while minimising resistance.

Forces & resistance

- Forces for change : technology, competition, globalisation, customer needs, laws, crisis, new leadership
- Why people resist : fear of the unknown and job loss, habit, loss of power or status, poor communication, lack of trust, "what's in it for me?"

Models



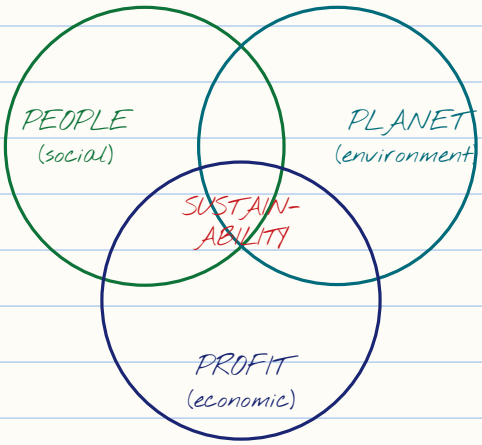
Model	Steps
Lewin (1951)	Unfreeze (create need, force-field analysis) → Change (move to new state) → Refreeze (reinforce, new norms)
Kotter's 8 steps	Create urgency → Build guiding coalition → Form vision → Communicate → Remove barriers → Create short-term wins → Build on gains → Anchor in culture
ADKAR (Prosci)	Awareness, Desire, Knowledge, Ability, Reinforcement

Overcoming resistance (Kotter & Schlesinger)

- Education and communication - Participation and involvement - Facilitation and support - Negotiation and agreement - Manipulation or co-optation - Explicit or implicit coercion (last resort)

II. Sustainability & Corporate Social Responsibility

Sustainable development (Brundtland, 1987) = meeting the needs of the present without compromising the ability of future generations to meet their own needs.



Triple Bottom Line
(John Elkington, 1994)

- ESG (Environmental, Social, Governance) investing and reporting ; SEBI's BRSR (Business Responsibility and Sustainability Report) mandatory for top 1000 listed companies in India
- UN SDGs : 17 goals to be achieved by 2030 (no poverty, quality education, clean energy, climate action...) - Circular economy (reduce, reuse, recycle) - Green management : renewable energy, waste reduction, carbon footprint, ISO 14001, net-zero targets
- CSR (Companies Act 2013, Section 135) : companies with net worth >= Rs.500 cr or turnover >= Rs.1000 cr or net profit >= Rs.5 cr spend 2% of average net profit (last 3 years) on CSR ; CSR committee ; activities in Schedule VII (education, health, hunger, environment, rural development)
- Benefits of sustainability : brand value, cost saving (energy), investor confidence, risk reduction, talent attraction, legal compliance. Examples : Tata (Tata Trusts, TCS), Infosys (carbon neutral), ITC (water positive), Mahindra

12. Important Questions (Unit V)

1. What is CRM? Explain its types, benefits and components.
2. Explain TQM and its principles. Discuss Deming's contribution.
3. What is Six Sigma? Explain DMAIC with an example.
4. Explain supply chain management and the bullwhip effect.
5. What is ERP? Explain its modules, benefits and implementation.
6. Differentiate performance appraisal and performance management.
7. Explain employee engagement and retention strategies.
8. Write notes on BPR, benchmarking, Knowledge management.
9. Explain change management models. How do you overcome resistance?
10. Discuss sustainability and CSR with the triple bottom line.

Last-minute revision

- CRM = acquire, retain, grow ; TQM = PDCA + Kaizen ; Six Sigma = 3.4 DPMO, DMAIC ; SCM = bullwhip ; ERP = single database ; BPR = radical ; Lewin = unfreeze-change-refreeze ; TBL = people, planet, profit